

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

Interconnection of Large Loads to the Interstate)
Transmission System) Docket No. RM26-4-000

**REPLY COMMENTS OF THE VIRGINIA STATE
CORPORATION COMMISSION**

On October 23, 2025, the Secretary of the Department of Energy (“Secretary”) directed the Federal Energy Regulatory Commission (“FERC” or the “Commission”) to consider an Advance Notice of Proposed Rulemaking (“ANOPR”) regarding the interconnection of large loads to the interstate transmission system and issue a final action by April 30, 2026.¹ On October 27, 2025, the Commission issued a Notice Inviting Comments on the proposed ANOPR.

More than 150 parties, including the Virginia State Corporation Commission (“VSCC”), filed initial comments in this proceeding. While the comments expressed a wide range of perspectives, two common themes pervaded most of them: (1) large loads should be interconnected reliably and as efficiently as possible;² and (2) FERC should narrowly-tailor any rulemaking proposal resulting from the ANOPR to avoid potential litigation and unnecessary delays that could result from asserting jurisdiction over large loads where it has not previously done so.³ Along the

¹ Secretary of Energy, *Secretary of Energy’s Direction that the Federal Energy Regulatory Commission Initiate Rulemaking Procedures and Proposal Regarding the Interconnection of Large Loads Pursuant to the Secretary’s Authority Under Section 403 of the Department of Energy Organization Act* (Oct. 23, 2025) (“ANOPR”).

² See, e.g., Comments of the Data Center Coalition at 2-3; Comments of ENGIE North America, Inc. (“ENGIE Comments”) at 2-3.

³ See, e.g., Initial Comments of the National Association of Regulatory Utility Commissioners; Initial Comments of the Organization of MISO States, Inc.; Comments of the North Carolina Utilities Commission.

same vein, a large number of commenters (representing a variety of interests, such as state commissions, transmission owners, data centers, public power, and RTOs/ISOs) emphasized that focusing on existing dockets (*e.g.*, co-location) or existing proposals (*e.g.*, SPP's High Impact Large Load Generation Addition proposal) will actually lead to the most meaningful outcomes in terms of successfully ensuring more rapid and reliable interconnections of large loads nationwide.

The VSCC agrees. Thus, pursuant to Notice Inviting Comments, the VSCC respectfully submits with these limited reply comments an approach that it believes should address the concerns of all camps.

I. EXECUTIVE SUMMARY

As noted in its initial comments, the VSCC agrees that large data center loads need to be interconnected quickly and provided reliable service at affordable rates. In those comments, the VSCC encouraged the Commission to use this rulemaking proceeding to:

- Develop a set of Commission-mandated minimum standards for large load interconnections while allowing transmission owners to continue to manage large load interconnection queues with direct oversight of their state regulatory commissions.
- Direct the transmission owners would file with the Commission verification that a large load interconnection Tariff meeting such requirements has been filed with their state regulatory authority.
- Enable the accelerated interconnection of large loads that are willing to bring their own generation or to be co-located with generation by creating a fast-track generator interconnection queue for those verified generation resources.⁴

⁴ Initial Comments of the Virginia State Corporation Commission at 2-3.

The VSCC noted that this cooperative, shared state and federal jurisdictional approach would ensure that a minimum set of standards is employed nationwide and helps accelerate large load interconnections without disrupting existing processes. The VSCC has developed just such a set of standards, which is attached hereto as an Appendix).

Commission adoption of these standards as part of a cooperative federalism approach that leaves interconnection to transmission owners subject to state regulatory oversight will satisfy those commenters concerned with the legal durability of a Final Rule premised on unprecedented jurisdictional change, as states would remain responsible for oversight of load interconnections (with a floor for such regulation established by the Commission). These standards should also satisfy those commenters concerned with the speed of interconnection, as establishing a nationwide, minimum set of standards should expedite interconnection queues, especially if coupled with an expedited regional process for co-located or other hybrid load.

This would allow the Commission to focus on the aspect of interconnection delays that is unquestionably within its jurisdiction – expediting the addition of needed generation to serve such load, through mechanisms like PJM’s recent Reliability Resource Initiative or other queue reform. The VSCC also encourages the Commission to schedule a technical conference in this proceeding, to hear from a diverse range of perspectives, including state regulators. The technical conference would be an ideal means to further develop the regulatory principles set forth in the Appendix.

II. COMMENTS

As the Secretary's Letter and the ANOPR concede, the Commission has never asserted jurisdiction over interconnection of load, large or otherwise.⁵ Load interconnection has rather been the exclusive province under the Federal Power Act of state regulators, such as the VSCC. Recognizing this, a range of commenters expressed concern with the Commission's assertion of jurisdiction, which both deprives states of the opportunity to address large load interconnection issues (which more than half the states are already doing), while subjecting any Final Rule in this proceeding to legal challenge under the Federal Power Act.

The approach described by the VSCC in its initial comments would ameliorate these concerns by maintaining existing state jurisdiction over interconnection of load, while allowing the Commission to ensure that the states are exercising this jurisdiction subject to minimum baselines that expedite interconnection as much as possible.⁶ The Commission could further accelerate these processes by requiring an expedited interconnection queue for hybrid interconnections or other arrangements where large loads bring their own generation.

Many of the parties expressing support for the ANOPR's principles appear to be primarily concerned with perceived delays in the current system.⁷ However, merely changing the regulator of such interconnections from state agencies to the Commission and the queue operator from transmission owners to PJM will not accelerate these interconnections if the reason for such delays is structural (i.e. lack of available generation or delayed transmission

⁵ Secretary's Letter at 1; ANOPR at Section IV.

⁶ Many of the Commenters supporting Commission action also support maintaining a role for the states in this process. DCC Comments at 4 ("[State] engagement and support will be critical to the success of any final framework.").

⁷ ENGIE Comments at 2 ("access to electricity has become a critical bottleneck for data centers, and other large load customers.").

upgrades). By implementing a minimum set of standards designed to remove bottlenecks in the interconnection queue itself, interconnections can be expedited while not disturbing existing state-federal jurisdictional boundaries.

The states are acting *now* to examine large load interconnections and ensure that such loads are interconnected quickly and provided reliable service at affordable rates. For example, on November 25, the VSCC issued an order in a rate review proceeding for Dominion that both created a new rate class for large loads with minimum contractual conditions and required Dominion to file with the VSCC its new large load interconnection queue process, along with supporting testimony, in a separate proceeding.⁸ The VSCC found in that order that “the public interest would be supported by a transparent process wherein the rules for the interconnection process of larger loads are subject to examination and approval in a formal proceeding.”⁹ Recognizing the urgency of the matter, the VSCC directed that this filing be made no later than February 2, 2026. The Commission should act in this proceeding to support these state actions, not bar them.

States are better equipped than the RTOs to address these matters efficiently. PJM recently conducted an “expedited” process (the Critical Issue Fast Path process) to attempt to address large load addition issues, only to have its membership reject each of the dozen or so proposals. Furthermore, when the Commission acted squarely within its existing jurisdiction in May 2024 in Order No. 1920 to address issues related to long-range transmission planning, the order merely initiated a process that will not, under current timelines, be completed until at least

⁸ *Application of Virginia Electric and Power Company For a 2025 biennial review of the rates, terms and conditions for the provision of generation, distribution and transmission services pursuant to VA Code section 56-585.1*, Case No. PUR-2025-00058, Final Order (Nov. 25, 2025). <https://www.scc.virginia.gov/docketsearch/DOCS/89g601!.PDF>

⁹ *Id.* at 22.

2027. If the goal of this proceeding is to accelerate interconnection of large loads, the most efficient means to do so would be to empower states to act, subject to a minimum set of standards established by the Commission.

The VSCC notes that this does not mean the Commission should do nothing to expedite load interconnection. In addition to directing expedited queues for certain limited types of interconnection, the Commission should act within its existing jurisdiction to accelerate interconnection of generation needed to support load. As the Commission has noted in several PJM proceedings, the generation interconnection process desperately needs to be reformed.¹⁰ PJM has reformed its queue process and implemented a one-time effort to allow shovel-ready projects to jump the queue, both of which were approved by the Commission.¹¹ The Commission should direct PJM to do more, including additional processes like the RRI. Removing the causes of generation interconnection backlogs would go far in accelerating load interconnections.

Finally, because such a wide range of commenters have submitted feedback to the Commission in this proceeding, the VSCC believes that the record in this proceeding would greatly benefit from a technical conference that solicits input from all sectors, including state regulators. A technical conference would allow the Commission to understand the issues raised

¹⁰ *PJM Interconnection, L.L.C.*, Docket No. ER22-2110, Order Accepting Tariff Revisions, 181 FERC ¶ 61,162 (Nov. 29, 2022); *PJM Interconnection, L.L.C.*, Docket No. ER24-2045, Order on Compliance, 192 FERC ¶ 61,077 (July 24, 2025).

¹¹ *PJM Interconnection, L.L.C.*, Docket No. ER22-2110, Order Accepting Tariff Revisions, 181 FERC ¶ 61,162 (Nov. 29, 2022); *PJM Interconnection, L.L.C.*, Order Accepting Tariff Revisions, 190 FERC ¶ 61,084 (Feb. 11, 2025).

in this proceeding, while developing the minimum set of standards to be applied by state regulators under the cooperative federalism approach described herein.

III. CONCLUSION

Wherefore, the VSCC respectfully requests that the Commission, in any eventual NOPR issued in this proceeding, maintain the existing shared jurisdiction with the states and set forth a list of principles for load interconnection to be implemented by utilities in their state-jurisdictional tariffs. The VSCC further requests that the Commission schedule a technical conference in this proceeding to fully develop a record for future action.

Respectfully submitted,

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APPENDIX – SUGGESTED PARAMETERS FOR STATE TARIFFS

The Commission should adopt only necessary reforms that are tailored to preserve state jurisdiction while accelerating the timely and orderly interconnection of large loads to the transmission system. Commission action should be judicious and carefully calibrated to retain and support state jurisdiction, recognizing that the rulemaking should only apply to interconnection to the transmission system and not to “facilities used in local distribution or for the transmission of electric energy in intrastate commerce, or over facilities for the transmission of electric energy consumed wholly by the transmitter.”¹² State regulators need the ability to balance “economic development associated with large loads with the protection of retail customers” and must retain the authority to ensure “resource adequacy, reliability, and affordability for retail customers.”¹³

The two actions outlined below, are tailored to provide appropriate, consistent minimum terms and conditions for transmission owners to implement as they manage the interconnection of large loads to the transmission system. This includes both reforms to the standard interconnection queue as well as the requirement to establish a voluntary fast track process for loads that can demonstrate system impact mitigation.

- **Minimum Terms for FERC Oversight of Large Load Interconnection to the Transmission System:** The Commission should establish principles governing the minimum necessary terms and conditions to be included in state large load interconnection tariffs.
- **Fast Track for Loads that Voluntarily Bring System Impact Mitigation:** FERC should establish the criteria for eligible large load interconnections to voluntarily enter a separate queue when they can demonstrate system impact mitigation through co-location, curtailment, or a combination of both. Those loads should be eligible for a streamlined and accelerated interconnection pathway that is managed by the transmission owner.

¹² 16 U.S.C. § 824(b)

¹³ NARUC Resolution EL-1, *Resolution Urging the Federal Energy Regulatory Commission to Preserve and Affirm State Retail Regulatory Jurisdiction in its Large Load Interconnection Proceeding*.

A. MINIMUM TERMS FOR STATE OVERSIGHT OF LARGE LOAD INTERCONNECTION TO THE TRANSMISSION SYSTEM

The Commission should establish minimum standards to ensure the timely and orderly interconnection of large loads. The transmission owner will be responsible for implementation of these minimum standards to provide transparency and consistency across markets. The Commission should establish a process through which transmission owners will file state-approved tariffs that meet these minimum standards or file such tariffs with the Commission in the event no state-approved tariff pathway is available. The minimum standards should address three core areas: 1) project readiness; 2) commercial readiness; and 3) withdrawal and/or reduction.

1. Project Readiness

The Commission should define specific project readiness criteria for transmission owners to implement in their state-approved tariffs when considering a large load interconnection. Project readiness criteria should be designed to support a first-ready, first-served approach to large load transmission interconnection. At a minimum, transmission owners should assess site control and documentation of permitting in assessing readiness.

2. Commercial Readiness

The Commission should also define minimum commercial readiness criteria to reduce the likelihood that speculative projects will slow the transmission owner's load interconnection review process. Commercial readiness payments, such as credit and collateral obligations, should be designed to appropriately balance real, customer-specific risk without deterring investment. Establishing calibrated commercial obligations throughout the process will also help to discourage nonviable projects from remaining in the queue.

3. Withdrawal and/or Capacity Reduction

The state large load tariffs should also require withdrawal or capacity reduction procedures to ensure that projects that inevitably need to exit the queue or adjust injection/withdrawal from the system can do so with minimal disruption to other projects and the orderly interconnection of loads. Such criteria should be designed such that the project that exits or reduces its capacity obligation incurs some level of financial risk to reduce speculation, including financial penalties and reassignment of capacity.

B. FAST TRACK FOR LOADS WITH SYSTEM IMPACT MITIGATION

The Commission could establish in its large load interconnection principles a **voluntary** fast-track pathway available to large loads that can demonstrate that their system impacts are materially mitigated through some combination of 1) hybrid facilities where load is co-located with generation and/or storage and/or 2) curtailment commitments. These loads would be studied for interconnection as part of the transmission owner's interconnection queue. However, a load cannot be simultaneously in the fast-track queue and in the standard load interconnection queue.

These criteria would establish a floor for participation, and a state can authorize additional eligibility criteria for participation in the load interconnection fast-track queue.

In conjunction with establishing, as part of any large load interconnection principles, a load interconnect fast-track, FERC should require transmission providers to implement a complementary generator interconnection queue fast-track. This fast-track would allow verified generation resources associated with loads in the voluntary load fast-track pathway to be eligible for a separate or expedited generator interconnection queue study process.

1. Hybrid facilities where load is co-located with generation and/or storage

The ANOPR recognizes that “siting a large load near or at the same point of interconnection as a new generating facility could reduce the network upgrades needed to interconnect only the load or only the generating facility.” As a baseline metric for access to a streamlined review process, the hybrid facilities must be required to install the system protection facilities necessary to prevent unauthorized injections or withdrawals that exceed their respective rights.

2. Load with curtailment commitments

Projects seeking fast-track eligibility through curtailment commitments must demonstrate that they can reliably and predictably reduce their load upon instruction or through automated triggers, such that their maximum net impact on the transmission system is materially limited during critical operating conditions. As a baseline, the load must always be fully curtailment-capable, with clearly defined maximum draw levels that apply during normal operations and stricter limits during reliability events.

3. A combination of co-location and curtailment

Projects that use both co-located resources and curtailment commitments must show that their combined mitigation strategy reliably limits the project's net impact on the transmission system during both normal operations and system-stress conditions. The Commission should establish criteria requiring that the co-located generation or storage meaningfully offset the facility's load under typical operating conditions, while curtailment commitments must ensure additional reductions during peak or contingency scenarios when the co-located resource alone cannot fully neutralize transmission impacts.

The Commission should permit states with tariffs or other contractual terms that include additional mitigation options to be eligible for this hybrid approach.

CERTIFICATE OF SERVICE

I hereby certify that the foregoing has been served in accordance with 18 C.F.R. Section 385.2010 upon each person designated on the official service list compiled by the Secretary in this proceeding.

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